greater than the magnitude of the corresponding gain if the object is newly added to one's endowment. Professor Richard Thaler of the University of Chicago defines the endowment bias:

> *If out-of-pocket costs are viewed as losses and opportunity costs are viewed as foregone gains, the former will be more heavily weighted. Furthermore, a certain degree of inertia is introduced into the consumer choice process since goods that are included in the individual's endowment will be more highly valued than those not held in the endowment,* ceteris paribus. *This follows because removing a good from the endowment creates a loss while adding the same good (to an endowment without it) generates a gain. Henceforth, I will refer to the underweighting of opportunity costs as the* endowment effect.[1]

In 1989, a researcher named J. L. Knetsch reported results from experiments designed to examine the endowment bias.[2] Knetsch's results provided an excellent practical application of endowment bias and concerned an experiment involving two groups of subjects. The 76 subjects in the first group were each given a coffee mug. They were then asked to complete a questionnaire, after which they were shown some candy bars. It had been determined earlier that the 76 subjects were about evenly divided over whether they generally preferred candy bars or coffee mugs if given a choice. But when told that they could substitute a candy bar for the coffee mug they had been given, 89 percent chose to keep the coffee mug. The second group consisted of 87 subjects. Again, about 50 percent preferred candy bars, and 50 percent preferred coffee mugs. The second group participated in the same exercise as the first group, except this time the candy bars were the endowment good and the coffee mugs were offered subsequently as substitutes. In the second group, 90 percent declined to trade their endowed candy bars. Knetsch concluded that this dramatic asymmetry resulted because "subjects weigh the loss of giving up their initial reference entitlement far more heavily than the foregone gains of not obtaining the alternative entitlement."[3] Neither coffee mugs nor candy bars seemed, in this experiment, innately more desirable by any significant margin; rather, subjects' preferences depended on their respective endowments.

PRACTICAL APPLICATION

Investors prove resistant to change once they become endowed with (take ownership of) securities. We will examine endowment bias as it relates to